

in fact *bullish*. Their rationalization is that the public's devotion will mitigate or preclude any decline, as investors will be right there to buy. Fund managers are calling their clients "hardened investors" because they have learned to buy no matter what the market does. They are, in fact, *softened up* investors, but these professionals must rationalize the public's behavior as intelligent because it coincides with their own, which, ironically, they also must rationalize. For example, a national column dated June 17, 1994 argues that the low cash among institutions is *bullish*, contrary to the record.

As previously discussed, many money managers have argued in Orwellian fashion that more risk means less risk. They say that if an investor diversifies into riskier investments such as aggressive growth funds, junk bonds, foreign securities and derivatives, he will reduce his risk because he has "spread" it among many markets. Is this sound advice from a neutral party, or rationalization? Money managers themselves have followed this policy because they are rewarded based on relative performance. If a manager of a money market firm, for instance, makes $\frac{1}{10}$ of 1% more than the competition, he is rewarded; if he does not follow his daring brethren who are buying derivatives by the truckload, he can be fired for underperformance. He must rationalize the higher risk he takes as *beneficial to clients*, which is how it magically becomes "less risk."

A most blatant rationalization is the idea, reported throughout the media in 1994, that higher interest rates would prove beneficial for the stock market and the economy. As rates fell for most of twelve years, we were informed that the trend was bullish. When interest rates rose persistently in 1994, which in the past was viewed as the death knell for stocks, it was hailed as a master stroke by the Fed that will guarantee a soft landing for the economy, an ensuing recovery, and thus further rising stock prices. The fact that, historically, rising rates have preceded stock market tops by about a year and a half was nowhere in the rhetoric to be found.

See how it works? In a crowd, the balanced consideration that is a hallmark of reason is abandoned to a selective focus that reflects the dictates of the mass emotional imperative. The bullish Elliott Wave opinion of the early 1980s required that bearish arguments be generally publicized and heeded, and today's bearish stance requires the opposite. We have been satisfied on both counts.

Denial is an important market factor in rationalization, particularly at major tops. As one example of its use today, a Harris poll from July 1994 revealed that 75% of mutual fund investors said